

Account Plan: Blue Yonder – Strategic Overview

Top Business Objectives

- **What are the customer's top business objectives?**Blue Yonder (BY) aims to become the definitive "supply chain operating system" for the world by transitioning from traditional enterprise software to a fully autonomous, AI-driven cognitive platform 1. Their primary objectives include accelerating SaaS revenue growth, expanding into new markets such as defense/government and reverse logistics (circular economy), and unifying their extensive multi-enterprise network of over 150,000 trading partners 2-4.
- **How are these objectives supported by the customer's initiatives?**BY is rapidly integrating recent strategic acquisitions (One Network Enterprises, Doodle, and Flexis) into its core Luminate Cognitive Platform 1, 4. They are also executing a massive modernization initiative, dubbed the "Migration Factory," to transition approximately 22% of their customer base still running on legacy on-premise systems (JDA/RedPrairie) to the cloud 5-7. Additionally, they are developing "Agentic AI" (Ops Agents) that autonomously resolve supply chain disruptions 4, 8.
- **How are these initiatives supported by IT, and how are they funded?**IT supports these shifts by orchestrating a hybrid cloud strategy primarily leveraging a recent \$1 billion, five-year commitment to Microsoft Azure 9. They are actively scaling a Kubernetes-based container platform and modernizing high-throughput middleware stacks (Kafka, Redis) to handle over 20 billion daily AI predictions 5, 7. These initiatives are backed by their parent company, Panasonic Connect, which commits approximately \$1 billion annually to R&D 3.
- **What is the funding for the initiatives, and what is the decision-making process for determining which initiatives will be funded?**Funding is heavily subsidized by Panasonic Connect, enabling multi-year innovation bets without typical quarterly public-market pressures 10, 11. Decision-making is driven by Panasonic's medium-term strategy to improve Return on Equity (ROE) and expand recurring SaaS revenue 12, 13. Projects that demonstrate clear ROI, consolidate the fragmented M&A codebase, or leverage the Microsoft Azure partnership are prioritized 9, 12, 14.
- **What is the customer's personnel situation, and how are they ensuring they have the necessary resources to support the IT initiatives?**BY faces the industry-wide shortage of specialized AI/ML and cloud engineering talent 15, 16. To support their vast IT infrastructure, they heavily leverage a managed services partnership with HCL, which manages over 30,000 servers and handles day-to-day patching via tools like BigFix and community AWX 9, 17, 18. Internally, they rely on automation (Terraform, GitHub Actions) and are exploring solutions like Red Hat Insights and Image Mode in RHEL 10 to act as a force multiplier for their lean IT infrastructure team 19-21.

Top Business Challenges

- **What are the top challenges the customer faces over the next three years?**According to BY, global macroeconomic volatility, geopolitical disruptions, and trade tariffs are the hardest challenges to mitigate, demanding highly agile supply chains 22, 23. Internally, their biggest challenge is technical debt: integrating multiple acquired codebases while maintaining 22% of their customers on legacy on-premise installations, which consumes 12-15% of their engineering capacity 6. Furthermore, the high Total

Cost of Ownership (TCO) of their enterprise-grade software limits their penetration into the mid-market, exposing them to agile, AI-native competitors like o9 Solutions 14, 24.

- **What are the potential impacts for the customer if these challenges remain unresolved?**If the legacy migration and M&A integration challenges remain unresolved, the engineering drag will continue to slow cross-platform feature releases by up to 6% and increase integration backlogs 25. This technical stagnation could lead to customer churn, loss of market share to nimbler cloud-native startups offering 30-50% faster deployments, and failure to meet the ambitious ROE targets set by Panasonic 26-28.
- **How are these challenges being addressed by IT initiatives, and how are those initiatives funded?**IT is addressing the legacy drag by building the aforementioned automated "Migration Factory" to shift legacy VMs to the cloud with zero manual intervention, explicitly seeking enterprise automation frameworks 7, 29. They are also evaluating alternatives to VMware, presenting a significant opportunity for OpenShift Virtualization, and exploring RHEL-certified Panasonic TOUGHBOOKs to secure defense sector contracts 30-32. These initiatives are funded through their massive Azure spend commitment, with procurement exploring ways to utilize Bring Your Own Subscription (BYOS) or Azure Red Hat OpenShift (ARO) to optimize software expenditures against their cloud budget 33, 34.